

Taz 02 2023

Originator: Spandana Spoorty Financial Limited

October 15, 2024

Transaction	Instrument	Rating ¹	Rating Action
Taz 02 2023	Series A1 PTCs	-	Withdrawn

Details of instruments/facilities in Annexure-1

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has withdrawn the rating assigned to above-mentioned instruments issued by Taz 02 2023 backed by microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL). The rating is withdrawn as payouts have been made to investors in full and there is no amount outstanding as on date.

Detailed description of key rating drivers: Not applicable**Analytical approach:** NA**Applicable criteria**[Policy on Withdrawal of ratings](#)**About the company and industry****Industry classification**

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL was incorporated on March 10, 2003, under provisions of the Companies Act, 1956. It was registered as on non-deposit accepting NBFC with the Reserve Bank of India and was classified as an NBFC-MFI effective April 13, 2015. The company went into CDR, post Andhra Pradesh (AP) crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds ~15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Limited. (holding 9.46%). The new CEO, Shalabh Saxena, and CFO, Ashish, have prior experience in Bharat Financial. Positions of CTO, CBO and CXO were also filled by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted maximum 21.31%, but the top four states constituted 76.06% of the portfolio. SSFL is focused on its micro-credit business and follows JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of 8 to 12 members.

Key financial indicators

Particulars	FY23 (A)	FY24 (A)	Q1FY25 (A)
Total income (₹ crore)	1,394	2,407	737
PAT (₹ crore)	12	501	51
Total assets (₹ crore)	9,164	13,227	12,629
Net NPA (%)	0.65	0.34	0.60
ROTA (%)	0.15	4.47	1.72

A: Audited; Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable**Any other information:** No

¹Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications.

Rating history for last three years: Annexure-2

Covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (₹ crore)	Rating assigned and Rating Outlook
Pass-through certificates	-	24-03-2023	10.00%	17-11-2024	0.00	Withdrawn

Annexure-2: Rating history of last three years:

Sr. No.	Name of Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass-through certificates	LT	0.00	-	-	1) CARE AA (SO) (19-Dec-23) 2) CARE AA- (SO) (03-May-23)	1)Provisional CARE AA- (SO) (27-Mar-23)	-

LT*- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of the Instrument	Complexity Level
1	Pass Through Certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. This classification is available at www.careredge.in. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

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About us:

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Disclaimer:

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